

Continued devaluation of the Sudanese Pound expected to drive higher prices

Key Messages

- On October 7, Sudan sharply devalued its currency to 47.5 SDG/USD in continued effort to combat the shortage of foreign currency, the third devaluation since December 2017. As a result, prices of basic goods and services increased 15-30 percent relative to September. Local staple food prices are likely to remain well above the five-year average, increasing more significantly in early and mid-2019, while non-cereal food items are expected to increase through at least January 2019. As a result, household food access will remain lower than normal, and many poor households will be unable to meet their basic food and non-food needs, humanitarian assistance requirements will remain higher than normal.
- Although the high cost of labor and inputs adversely impacted the area cultivated in mid-2018 and is similarly expected to negatively impact the ongoing harvesting process, the favorable rainfall drove high yields and near-average production is expected in many parts of the country. However, production is likely to be below average in isolated areas throughout the country and in particular in parts of South Kordofan and East and Central Darfur where cultivation was affected by dry spells and insecurity.
- In early October, the retail price of staple foods (sorghum and millet) started to decline with the ongoing harvest, though prices increased in the third and fourth weeks of October with the currency devaluation. Prices are expected to decline slightly during the November to January peak of the harvest but will still remain well above last year and the five-year average. After January, staple food prices are then expected to increase though at least mid-2019. Overall, millet and sorghum prices are projected to be around 40 percent above last year and 90-150 percent above the five-year average.
- The number of people facing Crisis (IPC Phase 3) or worse acute food insecurity during the harvesting period is expected to be higher than normal as a result of lower household purchasing power. Given further price increases and the fact that the current economic crisis is likely to persist, it is now expected that needs in early and mid-2019 will be higher than previously projected. Areas of greatest concern include conflict-affected areas of South Kordofan, Darfur, and Blue Nile States and areas of marginal agricultural production in North Darfur, North Kordofan, Kassala, and Red Sea States, as well as some poor households throughout the country who will face difficulty purchasing typical amounts of food.

* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (I). However, FEWS NET continues to produce food security maps inclusive of the (I) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at www.fews.net/about.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).